



Dec 31



Microsoft Certified trainer (Business Central)

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1. Introduction

The year-end process in Dynamics 365 Business Central is vital for any company, ensuring financial accuracy, compliance, tax preparation, and data integrity. It facilitates a seamless transition to the new fiscal year, supports performance assessment, and aids in strategic budgeting and planning, thereby laying a strong foundation for future growth

2. Quick summary for all steps

Preparation:

Ensure all adjusting entries are posted. Verify that accounts like Accounts Receivable, Accounts Payable, bank balances, and inventory balances are reconciled. Make sure inventory period is settle down properly.

Create a New Fiscal Year:

- From the same screen, click **Process > Create Year** and confirm the starting month of the new fiscal year.
- Click **OK** to create the new fiscal year.

Close the Current Fiscal Year:

- Go to the top-right corner of the Business Central app bar and click the magnifying glass (Search).
- Type “**Accounting Periods**” and select the first item in the list under the Administration category.
- Click on **Process > Close Year**. Confirm the year is correct and select **Yes**.

Close Income Statement:

- Use the magnifying glass to search for “**Close Income Statement.**”
- Create a separate batch for the closing entries, such as “YE 2024” for the 2024 fiscal year.
- Set the Document Number to something identifiable, like “YE 2024”.
- Ensure the Retained Earnings account is correct and post the entries.

Run the Trial Balance & Adjust Entries:

- Search for “**General Ledger Setup**” using the magnifying glass.
- Change the “Allow Posting From” date to prevent entries in the previous year.
- Enter and post any adjusting entries referencing the correct date in the previous year.

Audit Entries:

- Review all entries to ensure accuracy and completeness.

Re-Close:

- Navigate back to the **Chart of Accounts** and select **Process > Close Income Statement** again.
- Confirm the Fiscal Year Ending Date and post the system-generated journal entry.

Print Reports:

- Print the trial balances and other necessary reports to finalize the year-end process

3. Year End Process

Year-end closing in Microsoft Dynamics 365 Business Central involves below steps mainly.

Step 1: Closing the financial year using the Accounting Periods option.

Step 2: Generating a year-end closing entry using the Close Income Statement option.

Step 3: Posting the year-end closing entry along with the offsetting equity account entries.

You are not required to close a year but doing so will make working in the system easier because you will be able to take advantage of the convenient filtering options provided. You also do not have to worry about losing details of transactions when you close: all details are retained, even after you close the year.

When you close at the end of the year, the system moves your earnings from calculated earnings to the Retained Earnings account. The system also marks the financial year as "**closed**," and marks all subsequent entries for the closed year as "**prior year entries**."

The system then generates a closing entry, but it does not post the entry automatically. You are given the opportunity to make the offsetting equity account entry or entries, which allows you to decide how to allocate your closing entry. For example, if your company has several divisions, you can let the system generate a single closing entry for all the divisions, and you can then make an offsetting entry for each division's equity account.

You can post in a previous financial year, even after the income statement accounts have been closed, if you run the **Close Income Statement** batch job again afterward.

When a financial year is over, you must close the periods that comprise it before you run the Close Income Statement Batch Job.

4. Create New Accounting period

1. Go to the top-right corner of the Business Central app bar and click the magnifying glass (Search).
2. Type "**Accounting Periods**" and select the first item in the list under the Administration category.
3. Click on **Home > Create Year**. Confirm the year with date is correct and select **OK**.
4. Enter the starting date of Accounting Period → Enter the No. of Periods → Enter the Period Length → Click OK.

The screenshot shows the 'Accounting Periods' page in Microsoft Dynamics 365 Business Central. The page has a top navigation bar with a back arrow, the title 'Accounting Periods', and a 'Saved' status. Below the navigation bar is a toolbar with icons for 'New', 'Edit List', 'Delete', 'Home', 'Reports', and a search icon. The main content area shows a table with the following columns: 'Starting Date', 'Name', 'New Fiscal Year', 'Closed', 'Date Locked', and 'Inventory Period Closed'. The 'Create Year...' button is highlighted with a red box and an arrow pointing to it. The table contains three rows of data:

Starting Date	Name	New Fiscal Year	Closed	Date Locked	Inventory Period Closed
4/1/2024	April	☐	☐	☐	☐
5/1/2024	May	☐	☐	☐	☐
6/1/2024	June	☐	☐	☐	☐

Create Fiscal Year



Options

Starting Date 1/1/2025

No. of Periods 12

Period Length 1M

Schedule... OK Cancel

Starting Date	Name	New Fiscal Year	Closed	Date Locked	Inventory Period Closed
9/1/2024	September	☐	☐	☐	☐
10/1/2024	October	☐	☐	☐	☐
11/1/2024	November	☐	☐	☐	☐
12/1/2024	December	☐	☐	☐	☐
1/1/2025	January	☒	☐	☐	☐
2/1/2025	February	☐	☐	☐	☐
3/1/2025	March	☐	☐	☐	☐
4/1/2025	April	☐	☐	☐	☐
5/1/2025	May	☐	☐	☐	☐
6/1/2025	June	☐	☐	☐	☐
7/1/2025	July	☐	☐	☐	☐
8/1/2025	August	☐	☐	☐	☐
9/1/2025	September	☐	☐	☐	☐
10/1/2025	October	☐	☐	☐	☐
11/1/2025	November	☐	☐	☐	☐
12/1/2025	December	☒	☐	☐	☐

5. Updates Dates on general posting setups

Updates all posting dates in general ledger setups if it is not updated yet.

1. Go to the top-right corner of the Business Central app bar and click the magnifying glass (Search).
2. Type “**General Ledger Setup**” and select the first item in the list under the Administration category.

General Ledger Setup

Home Posting General VAT Bank Journal Templates More options

Change Payment Tolerance Change Global Dimensions...

General

Allow Posting From 1/1/2025

Allow Posting To 12/31/2025

Allow Deferral Postin... ..

Allow Deferral Postin... ..

Register Time ☐

Local Currency Symbol \$

Local Currency Descri... .. US dollar

Post. Disc. Excl. Tax ☐

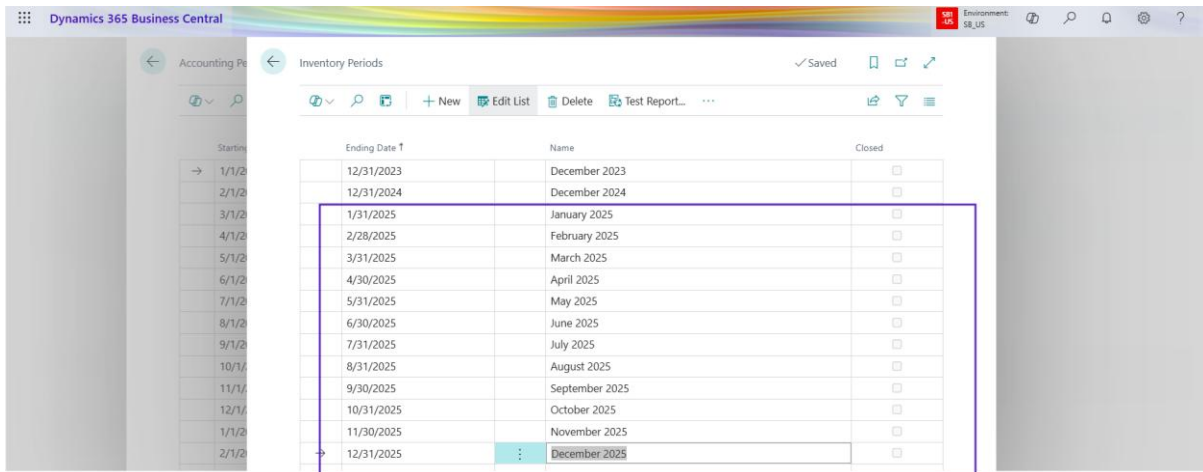
Adjust for Payment D... .. ☒

Unrealized Tax ☐

6. Create Inventory period

1. Go to the top-right corner of the Business Central app bar and click the magnifying glass (Search).

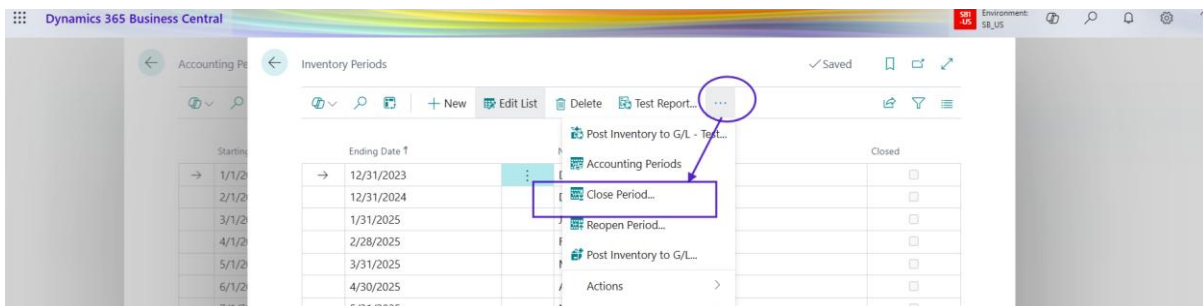
2. Type “**Accounting Period**” and select the first item in the list under the Administration category.
3. Click on Home → Inventory period → New and then specify the date. As per business need required to define the inventory period. *Ideally it should be monthly.*



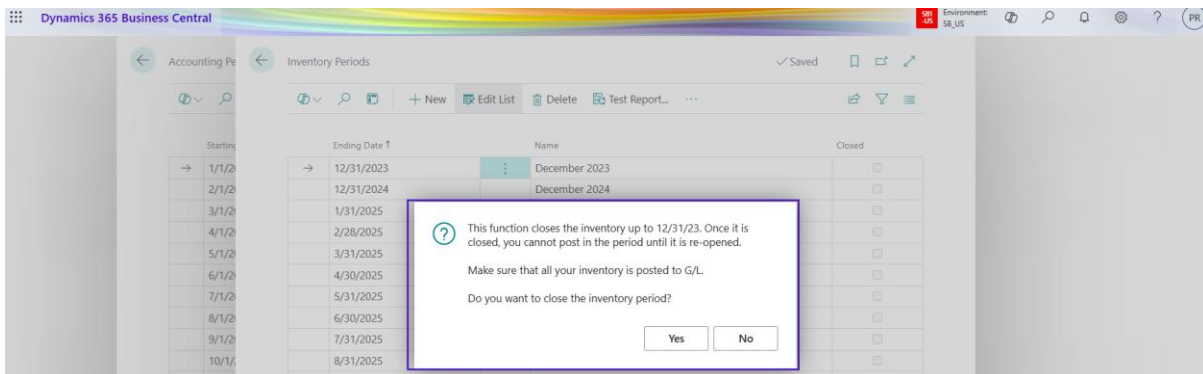
7. Close Inventory period

If year is being closed in Business central you will not be able to reopen or perform any transaction in the previous year.

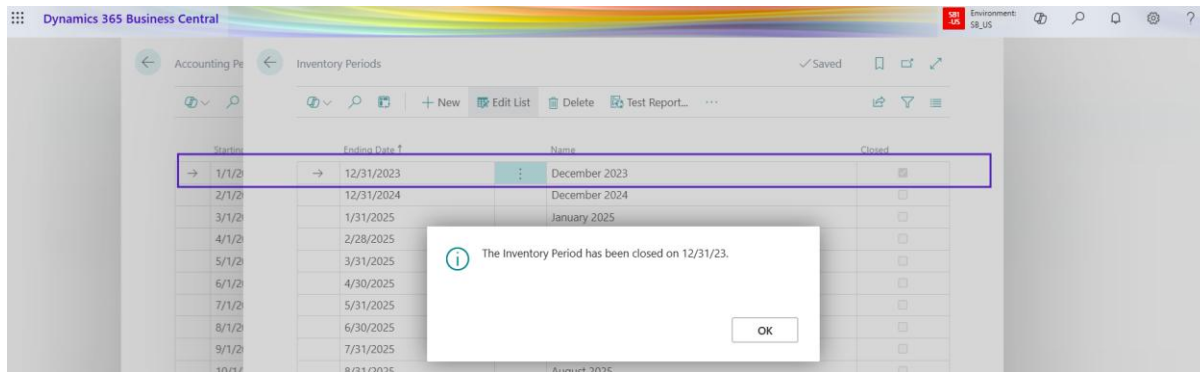
Before posting actual posting journal or document of close inventory period first must be run the “**Test Report**” – **Close Inventory period -Test**. This report will show if there is any error (normally reconciliation or application of the inventory cost not performed) find you must correct this.



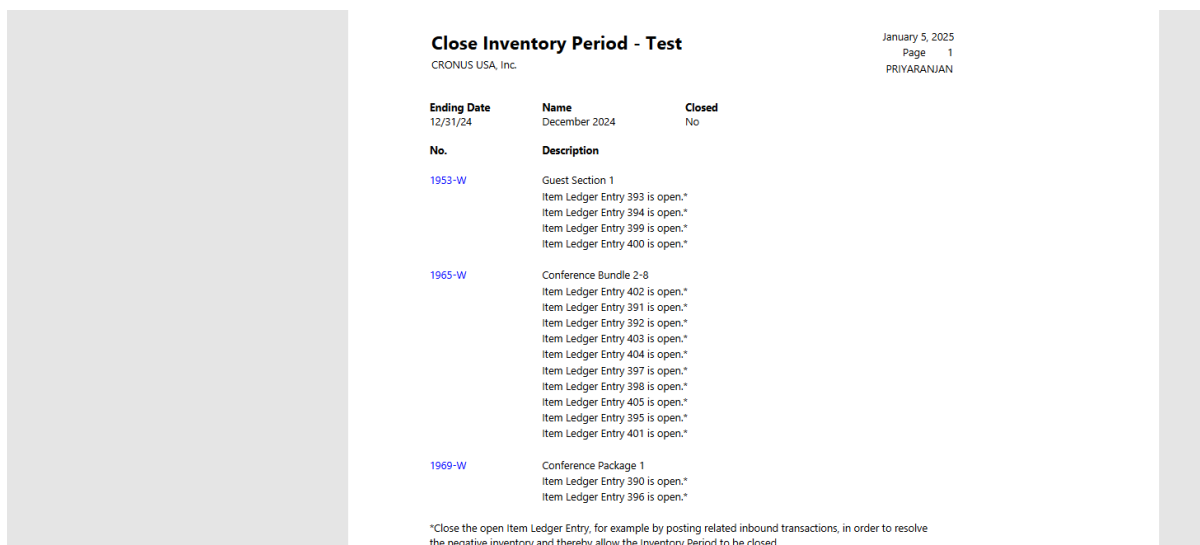
1. Click on Close period → Yes



2. Message will be populated where Closed Boolean is marked true.

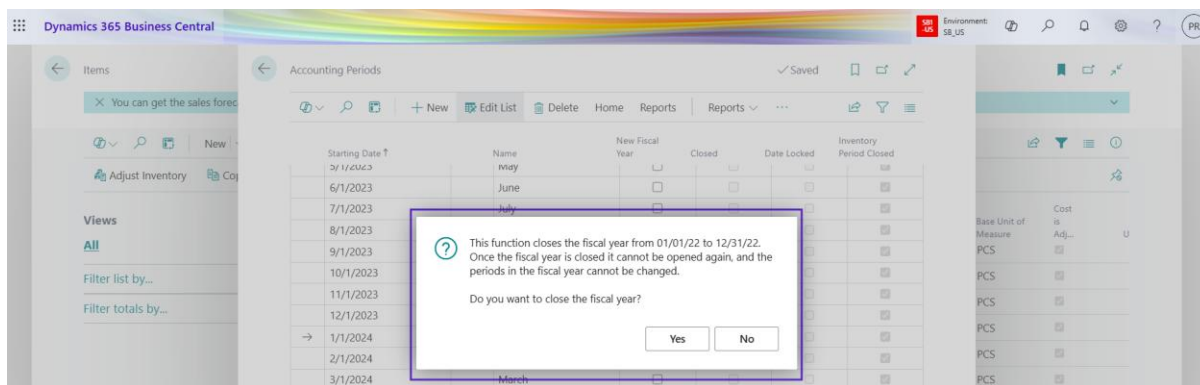


3. If there is any open entry is not settled the system will show the details as below when Test report is run. First need to adjust the entry as per report.



8. Close Accounting Period

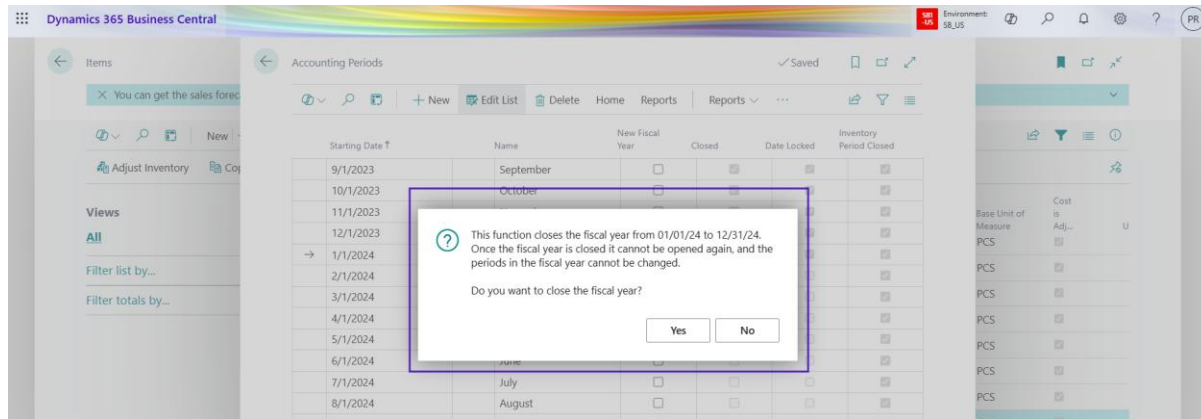
1. Go to the top-right corner of the Business Central app bar and click the magnifying glass (Search).
2. Type “**Accounting Periods**” and select the first item in the list under the Administration category.
3. Click on **Process > Close Year**. Confirm the year is correct and select **Yes**.



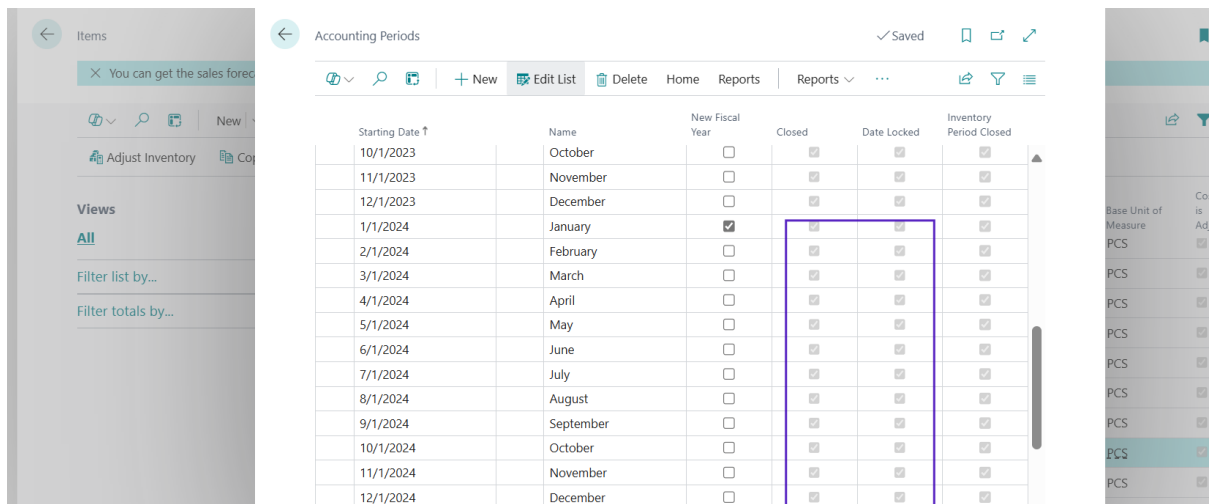
*Note: In the **Accounting Periods** window, on the **Actions** tab, in the **General** group, choose **Close Year**. If more than one financial year is open, Microsoft Dynamics 365 Business Central assumes that the earliest one should be closed. A message displays identifying the year that will close and the consequences of closing the year.*

Once the previous year accounting period is closed the process the current year. For the follow the same steps 1 to 3 as above.

4. To close the year, choose the **Yes** button.



5. The financial year is closed, and the **Closed** and **Date Locked** fields for all the periods in the year are selected. The financial year cannot be opened again, and you cannot remove the check mark from the **Closed** or **Date Locked** fields.



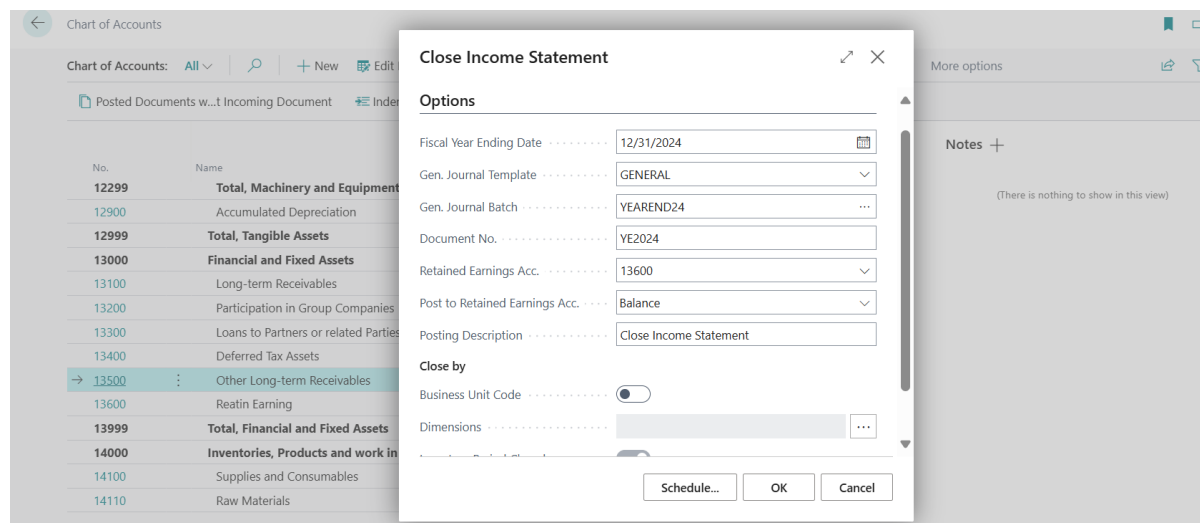
***Note:** You must create a new financial year before closing the current one. Once a financial year is closed, you cannot change the starting date of the following financial year.*

Even after a financial year is closed, you can still post General Ledger entries to it. These entries will be marked as posted to a closed financial year, with the Prior-Year Entry field selected. After closing a financial year, you must close the income statement accounts and transfer the year's results to an account on the balance sheet. This process can be repeated each time you post to the closed financial year.

9. Close Income Statement Batch Job

Generating a year-end closing entry using the Close Income Statement option

1. Use the magnifying glass to search for “Close Income Statement.”



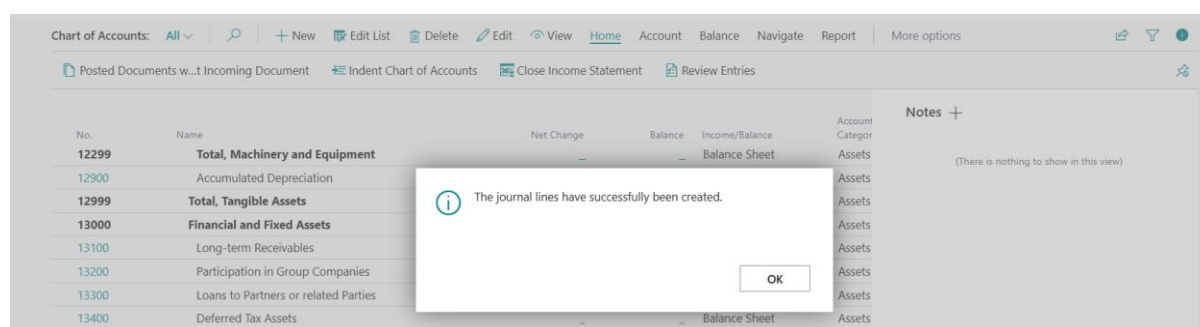
Field descriptions of the Close Income Statement Batch job

Field	Description
Fiscal Year Ending Date	Enter the last date in the closed financial year. This field must be filled in. This date is used to determine the closing date.
Gen. Journal Template	Enter the name of the general journal template that the entries are placed in. To see the existing general journal templates, choose the field.
Gen. Journal Batch	Enter the name of the general journal batch that the entries are placed in. To see the existing general journal batches, choose the field.
Document No.	If you filled in the Gen. Journal Template field and the Gen. Journal Batch field, the batch job automatically fills in this field with the next available number from the No. Series for the journal batch. You can also fill in this field manually.
Retained Earnings Acc.	Enter the account that the retained earnings entries are placed in. To select the account, choose the field.
Close by	Enter text that will accompany the entries. The default text is Close Income Statement .
Business Unit Code	Select if you want an entry to be created for each Business Unit Code. If Business Units are used, we recommend that entries be created for ALL business units.
Dimensions	If you want an entry to be created for each dimension used in the General Ledger account, choose the field, and select the codes of the dimensions. We recommend that if dimensions are used, entries be created for ALL dimensions.
Inventory Period Closed	Select if you want inventory periods with ending dates equal to or prior to the last date of the accounting period to be closed when you run the batch job.

Note: If you do not want to close by business units or dimensions, only one entry is created for each account.

- Transfers the year's result to an account in the balance sheet and closes the income statement accounts. You do this by creating lines in a journal, which you then can post.
- The batch job processes all general ledger accounts of the income statement type and creates entries that cancel out their respective balances. That is, each entry is the sum of all the General Ledger entries on the account in the financial year. These new entries are placed in a journal in which you must specify a balancing account and retained earnings account in the balance sheet before you post. When you post the journal, an entry is posted to each income statement account so that its balance becomes zero and at the same time the year's result is transferred to the balance sheet.
- You need to manually post the journal. The batch job does not automatically post the entries unless an additional reporting currency is being used. In such cases, the batch job posts entries directly to the General Ledger.
- The date on the lines that the batch job inserts in the journal is always a closing date for the financial year. The closing date is a fictitious date between the last day of the old financial year and the first day of the New Year. The advantage of posting on a closing date is that you maintain the correct balances for the ordinary dates of the financial year.
- The Close Income Statement batch job can be used several times. You can post in a previous financial year, even after the income statement accounts have been closed, if you run the batch job again.

The financial year must be closed before the batch job can be run.



10. Post the General Journal Batch

Posting the year-end closing entry along with the corresponding offsetting entries to the equity account, essentially the Retained Earnings Account.

1. Use the magnifying glass to search for **"General Journal"**
2. Select the batch job **"YEAREND24"** i.e.; defined during the Closing Income statement.
3. The batch job will create an **un-posted journal**. After reviewing and adjusting, the batch should be **posted manually**.
4. It is important to note that the **Close Income Statement** job should not be run again if an open batch exists. Any open batches should be either posted or deleted before executing the process.

Note: It is recommended to maintain a separate general journal batch for closing the income statement. Additionally, if an additional reporting currency is being used, the Close Income Statement batch job posts entries directly to the General Ledger.

General Journals

Batch Name: YEAREND24

Manage Home Request Approval Payroll Line Incoming Document Page More options

Delete

Posting Date	Document Type	Document No.	Account Type	Account No.	Account Name	Description	Currency Code	G	T ₁
C12/31/2024		YE2024	G/L Account	40110	Sale of Raw Materials	Close Income Statement 2024			
C12/31/2024		YE2024	G/L Account	40140	Resale of Goods	Close Income Statement 2024			
C12/31/2024		YE2024	G/L Account	50110	Cost of Materials	Close Income Statement 2024			
C12/31/2024		YE2024	G/L Account	13600	Retain Earning	Close Income Statement 2024			

Journal Check

Lines checked: 4, Lines with issues: 4, Issues Total: 4

Refresh

Current line: Posting Date is not within your range of allowe...

Journal Line Details

Posting Group

Number of Lines: 4, Balance: -29,132.97, Total Balance: 0.00

Before posting the entry, it's recommended to execute **the Posting Preview** to see the General Ledger impact before making the actual entry.

13600 Retain Earning

G/L Entries Preview

Dimensions Set Dimension Filter...

Posting Date	Document Type	Document No.	G/L Account No.	Description	Department Code	Customergro... Code
C12/31/2024		***	40110	Close Income Statement 2024		
C12/31/2024		***	40140	Close Income Statement 2024		
C12/31/2024		***	50110	Close Income Statement 2024		
C12/31/2024		***	13600	Close Income Statement 2024		

5. Post the entry.

General Journals

Batch Name: YEAREND24

Manage Home Request Approval Payroll Line Incoming Document Page More options

Post Get Standard Journals... Renumber Document Numbers Reconcile Apply Entries...

Posting Date	Document Type	Document No.	Account Type	Account No.	Account Name	Description	Currency Code	G	T ₁
4/8/2024		G00001	G/L Account						

The journal lines were successfully posted.

OK

Journal Check

Lines checked: 4, Lines with issues: 4

Refresh

11. Impact after posting

1. Use the magnifying glass to search for "Chart of Account"
2. Find the G/L account "Retain Earning" "13600."

CRONUS USA, Inc. | Finance | Cash Management | Sales | Purchasing | Shopify | All Reports |

Chart of Accounts: All | + New | Delete | Edit List | Home | Account | Balance | Navigate | Report | More options

Views

[Show only posting accounts](#)
[Hide blocked accounts](#)
 Filter list by:
[+ Filter...](#)
 Filter totals by:
 Date Filter: 01/01/24..C12/31/24
[Edit](#)
[Reset filters](#)

No.	Name	Net Change	Balance	Income/Balance	Account Category	Account Subcategory
13000	Financial and Fixed Assets	-	-	Balance Sheet	Assets	Assets
13100	Long-term Receivables	-	-	Balance Sheet	Assets	Assets
13200	Participation in Group Companies	-	-	Balance Sheet	Assets	Assets
13300	Loans to Partners or related Parties	-	-	Balance Sheet	Assets	Assets
13400	Deferred Tax Assets	-	-	Balance Sheet	Assets	Assets
13500	Other Long-term Receivables	-	-	Balance Sheet	Assets	Assets
13600	Retain Earning	-41,476.13	-41,476.13	Balance Sheet	Assets	Assets
13999	Total, Financial and Fixed Assets	-41,476.13	-41,476.13	Balance Sheet	Assets	Assets
14000	Inventories, Products and work in Progress	-	-	Balance Sheet	Assets	Inventory
14100	Supplies and Consumables	-	-	Balance Sheet	Assets	Inventory
14110	Raw Materials	-	13,522.50	Balance Sheet	Assets	Inventory
14120	Products in Progress	-	-	Balance Sheet	Assets	Inventory
14130	Finished Goods	9,839.70	168,654.10	Balance Sheet	Assets	Inventory

3. Open the **ledger entry** and find the details

50110 Cost of Materials

General Ledger Entries | Edit List | Home | Review Entries | More options

Find entries... | Reverse Transaction... | Correct Dimensions | Entry

Posting Date ↓	Document No.	G/L Account No. ↓	Description	Amount (\$)	Bal. Account Type	Entry No. ▼	External Document No.	Contract
→ C12/31/2024	YE2024	50110	Close Income Statement 2024	-107,348.20	G/L Account	4304		
C12/31/2024	YE2024	40140	Close Income Statement 2024	177,957.30	G/L Account	4303		
C12/31/2024	YE2024	40110	Close Income Statement 2024	-29,132.97	G/L Account	4302		
C12/31/2024	YE2024	13600	Close Income Statement 2024	-41,476.13	G/L Account	4305		

